

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 21-05

MCS INDUSTRIES, INC. v. MSC MEDITERRANEAN SHIPPING COMPANY SA

COMPLAINANT MCS INDUSTRIES, INC.’S BRIEF ON REMAND

Pursuant to the Federal Maritime Commission’s (the “Commission”) January 3, 2024 Order Partially Affirming Initial Decision on Default and Remanding for Further Proceedings (the “Order”) and the Presiding Officer’s January 4, 2024 Remand Scheduling Order (the “Scheduling Order”), Complainant MCS Industries, Inc. (“Complainant”), by and through its undersigned attorneys, files this brief, the accompanying Declaration of Brittany Montesano, and the exhibits thereto to address the “only two narrow issues” on which the Commission remanded this action: “(1) whether the delay sanction provision at 46 U.S.C. § 41302(d) is an additional basis to support default in this case and (2) the submission of evidence sufficient to support the claimed reparations.” Scheduling Order at 1. Since the Commission’s Order denied Respondent MSC Mediterranean Shipping Company SA’s (“Mediterranean”) exceptions with respect to its liability to MCS Industries in this action and affirmed the Presiding Officer’s January 13, 2023 Initial Decision on Default (the “Initial Decision”) as to such liability, this brief will not revisit that issue.

I. Mediterranean’s Undue Delays in This Action Constitute an Additional Independent Basis under 46 U.S.C. § 41302(d) for the Presiding Officer’s Decision on Default.

Section 41302(c) of the Shipping Act of 1984, as amended, provides in relevant part that “[w]ithin 10 days after the initiation of a proceeding under . . . [46 U.S. Code] section 41301 . . . [i.e., the section governing private party complaints such as the ones filed by MCS Industries in

this action], the Commission shall set a date by which it will issue its final decision. 46 U.S.C. § 41302(c). Section 41302(d) provides that “[i]f, within the period for final decision under subsection (c), the Commission determines that it is unable to issue a final decision because of undue delay caused by a party to the proceeding, the Commission may impose sanctions, including issuing a decision adverse to the delaying party.” 46 U.S.C. § 41302(d).

Consistent with these requirements, the Commission’s Notice of Filing of Complaint and Assignment in this action, issued on August 3, 2021, provided that “[t]he initial decision of the presiding office in this proceeding shall be issued by August 3, 2022, and the final decision of the Commission shall be issued by February 17, 2023.” Dkt. 2. As detailed in MCS Industries’ response to Mediterranean’s exceptions to the Presiding Officer’s Initial Decision, however, since late November 2021, and well past that initial August 3, 2022 deadline, virtually every filing in this action was a direct result of Mediterranean’s failure to comply with its discovery obligations, including:

- Complainant’s Motion to Compel, Mediterranean’s Response, and the Court’s Order Granting Motion To Compel (Dkt. 21–27).
- Documents relating to Swiss legal and discovery processes and the Letter of Request pursuant to the Hague Evidence Convention (Dkt. 44, 47, 53).
- Joint Status Reports addressing Mediterranean’s failure to produce discovery, Swiss law issues, and the Hague Evidence Convention process (Dkt. 28, 35, 41, 43, 45, 48, 51).
- A revised scheduling order (Dkt. 42), an Order Requiring Joint Status Report suspending the case schedule (Dkt. 46), and a Notice of Extension of Time (Dkt. 49), all reflecting delays occasioned by Mediterranean’s discovery delays.
- Mediterranean’s Motion for an Extension of Time (Dkt. 52, 53, 55).

- Filings relating to the Order to Show Cause (Dkt. 55, 56).

See Dkt. 66 at 12–13. These discovery-related delays were particularly unjustifiable in light of the fact that, at the outset of discovery in this action, MCS Industries’ counsel specifically raised with Mediterranean’s counsel the issue of Swiss law, and whether it could interfere with discovery in this action, and Mediterranean’s counsel stated that it was not aware of any such issues. *See* Dkt. 53 at 1–2; Dkt. 41 at 7. Instead, it was not until December 16, 2021—after MCS Industries had filed and prevailed on its motion to compel discovery that ultimately led to Mediterranean’s default—that Mediterranean began raising Swiss law issues (and filed a belated, and entirely unsuccessful, motion to dismiss). *See* Dkt. 53 at 1–2; Dkt. 41 at 7.

Mediterranean’s discovery-related delays necessitated action by the Commission on July 29, 2022 to extend the deadlines for the initial and final decisions by six months. *See* Dkt. 49. Those delays, as well as further unsolicited filings by Mediterranean relating to its continued interactions with Swiss authorities, *see* Dkt. 59, 61–63, also substantially limited the Commission’s time to consider the Presiding Officer’s Initial Decision, Mediterranean’s exceptions to it, and MCS Industries’ responses to those exceptions, necessitating a further Notice of Extension of Time for the Commission to render its detailed Order. *See* Dkt. 67 (extending time for final decision until February 16, 2024).

In sum, the procedural history of this action clearly supports a determination by the Commission that it was unable to issue its final decision within the period originally contemplated by 46 U.S. Code Section 41302(c) because of the undue delay of one party in this proceeding—Mediterranean. Accordingly, a sanction pursuant to 46 U.S. Code Section 41302(d) would appear to be justified. Moreover, for all of the reasons previously argued in MCS Industries’ responses to the Presiding Officer’s Order to Show Cause and Mediterranean’s exceptions to the Initial

Decision, *see* Dkt. 57, 66, as well as those articulated by the Presiding Officer in the Initial Decision and by the Commission in its Order, a decision on default against Mediterranean is the appropriate sanction to impose in this action.

II. The Declaration and Exhibits Accompanying This Brief Provide Detailed Evidence of the Ocean Freight Costs Underlying MCS Industries’ Request for Reparations.

MCS Industries sought in this case reparations equaling amounts in excess of its service contract rates with Mediterranean that Complainant had to spend during the terms of those service contracts on non-service-contract-based purchases of ocean carriage in order to ship cargo between port pairs covered by its service contracts with Mediterranean. As the Presiding Officer noted in the Initial Decision, “[t]he amount of reparations sought by MCS Industries is consistent with the request in the amended complaint and is the type of damages appropriate for the claimed violation of the Shipping Act.” Initial Decision at 23.

The Commission’s Order did not find to the contrary, but instead affirmed the appropriateness of the Presiding Officer’s reparations award and simply remanded this action “for the submission of evidence sufficient to support” the amount of that award. Commission’s Order at 27–30. The accompanying Declaration of MCS Industries’ Logistics Analyst, Brittany Montesano (the “Declaration”), and the exhibits thereto provide detailed, documentary support for the Presiding Officer’s award of reparations.¹

As detailed in the Declaration and its exhibits (and consistent with the allegations in MCS Industries’ Verified Amended Complaint in this action), MCS Industries’ service contracts with Mediterranean for the periods May 2020–April 2021 (the “2020 Service Contract”) and May

¹ Because the exhibits to the Declaration have been designated as “Confidential” or “Outside Counsel Eyes Only” pursuant to the Confidentiality Stipulation and Protective Order entered by the Presiding Officer in this action, *see* Dkt. 19–20, and, by their nature, contain commercially and competitively sensitive information, MCS Industries is also moving for confidential treatment of those exhibits pursuant to Rule 5(b) of the Commission’s Rules of Practice and Procedure.

2021–April 2022 (the “2021 Service Contract” and, collectively with the 2020 Service Contract, the “2020 and 2021 Service Contracts”) set minimum quantity commitments (“MQCs”) of 1,400 twenty-foot equivalent units (“TEUs”) and 728 TEUs, respectively. *See* Decl. ¶¶ 4–5, 7–8 & Exs. 1–3. However, despite MCS Industries’ intent to use the full volumes of cargo space for which it contracted with Mediterranean in the 2020 and 2021 Service Contracts, *see* Decl. ¶¶ 6, 9, 14, and despite the efforts of MCS Industries and its logistics agent, Expeditors International of Washington, Inc. (“Expeditors”) to attempt to book space with Mediterranean pursuant to the 2020 and 2021 Service Contracts (and repeated complaints to Mediterranean regarding its failure to provide contracted space), Mediterranean carried only approximately 1,101 TEUs of MCS Industries’ cargo during the term of the 2020 Service Contract and only approximately 492 TEUs of MCS Industries’ cargo during the term of the 2021 Service Contract. *See* Decl. ¶¶ 10–13.

Exhibit 4 to the Declaration lists the details of shipments of containers of MCS Industries cargo that were carried during the terms of the 2020 and 2021 Service Contracts between the port pairs covered by the 2020 and 2021 Service Contracts, respectively, pursuant to arrangements with ocean transportation intermediaries or suppliers (and not pursuant to the 2020 and 2021 Service Contracts or a service contract between MCS Industries and another vessel-operating common carrier) in order to meet MCS Industries’ ocean shipping needs. *See* Decl. ¶¶ 15–18 & Ex. 4. Exhibit 5 compiles the invoices for those shipments for the Presiding Officer’s reference. *See* Decl. Ex. 5.

As reflected in Exhibit 4, the ocean freight costs for the shipments listed in Exhibit 4 during the term of the 2020 Service Contract, totaling 299 TEUs, exceeded Mediterranean’s rates for such carriage in the 2020 Service Contract by a total of **\$400,509**. *See* Decl. ¶ 16 & Ex. 4. The ocean freight costs for the shipments listed in Exhibit 4 stemming from the time period that was the focus

of the initial Verified Complaint in this action (i.e., May through July 2021), totaling 123.5 TEUs, exceeded Mediterranean's rates for such carriage in the 2021 Service Contract by a total of **\$463,936**. *See* Decl. ¶ 17 & Ex. 4. The ocean freight costs for the shipments listed in Exhibit 4 that were carried later in the term of the 2021 Service Contract (specifically, during December 2021 through April 2022—the remainder of the term of the 2021 Service Contract starting with the month in which MCS Industries sought leave to file its Verified Amended Complaint in this action), totaling an additional 112.25 TEUs, exceeded Mediterranean's rates for such carriage in the 2021 Service Contract by a total of **\$288,232**. *See* Decl. ¶ 18 & Ex. 4.

In total, Exhibit 4 to the Declaration reflects shipments of MCS Industries cargo carried during the terms of the 2020 and 2021 Service Contracts between the port pairs listed in the 2020 and 2021 Service Contracts that cost MCS Industries a total of **\$1,152,677** more than such shipments would have cost under the rates in the 2020 and 2021 Service Contracts. Decl. ¶ 19 & Ex. 4. MCS Industries respectfully submits that this evidence is more than sufficient to justify the Presiding Officer's award of reparations in this action, especially given that the reparations are being awarded as a sanction.

MCS Industries also intends to file at the appropriate time a petition for an award of its attorneys' fees and costs of litigation as the prevailing party in this action pursuant to 46 U.S. Code Section 41305(e) and Rule 254 of the Commission's Rules of Practice and Procedure. Since the decision in this case is not yet final, MCS Industries has not included here the information contemplated by Rule 254(d) for those purposes.

CONCLUSION

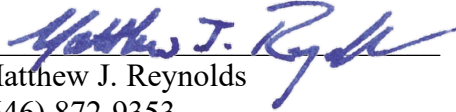
For the reasons stated above, as well as those articulated in the Commission's Order and the Presiding Officer's Initial Decision, Complainant respectfully requests that the Presiding Officer (1) find that Mediterranean's undue delays in this action also merited a decision on default

against it pursuant to the sanction provision of 46 U.S. Code Section 41302(d) and (2) award MCS Industries, on the basis of the declaration and documentary evidence accompanying this brief, **\$1,152,677** in reparations.

Dated: January 19, 2024

Respectfully submitted,

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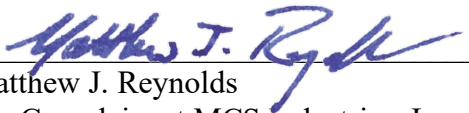
Certificate of Service

I hereby certify that I have this day served the foregoing document and the declaration and exhibits filed herewith upon Respondent MSC Mediterranean Shipping Company SA by emailing copies of those documents to its counsel of record listed below:

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Dated: January 19, 2024



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